6. 9:00 AM CASE NUMBER: C25-00197
CASE NAME: MICHAEL REDONDO VS. CONCORD POST ACUTE CARE
***MOTION/PETITION TO COMPEL ARBITRATION**
FILED BY: SYCAMORE HEALTHCARE ASSOCIATES DBA LEGACY POST ACUTE CARE
****TENTATIVE RULING:****

The motion to compel arbitration is unopposed and is **granted**. Parties shall submit the dispute to arbitration. This case is stayed pending the outcome. (See Code Civ. Proc., § 1281.2 (c)-(d).) All future dates are taken off calendar and a case management conference is scheduled for August 6, 2026 at 8:30 a.m. at which time parties shall report back concerning the status of arbitration.

---

7. 9:00 AM CASE NUMBER: C25-02220
CASE NAME: MORTGAGE ELECTRONIC REGISTRATION SYSTEMS, INC. VS. NANCY YEE
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: YEE, NANCY NGUYEN
****TENTATIVE RULING:****

[Demurrer]

Introduction

Before the Court is Defendants Robert and Nancy Yee's ("Defendants" or "Yee Defendants") Demurrer. The Demurrer relates to Plaintiff MERS and Shellpoint's Complaint for six contract and fraud related causes of action.

For the following reasons, **Defendants' Demurrer is overruled in its entirety.**

Meet and Confer Requirement

Defendants Robert and Nancy Yee failed to file a declaration in support of their meet and confer efforts in violation of their statutory duties. (CCP §§ 430.41 and 435.5.) However in their reply, Defendants state that they did engage in a good faith meet and confer prior to filing the Demurrer. Since Plaintiff filed a Reply stating that the Defendants did in good faith meet and confer with Plaintiffs, the Court will proceed to the merits.

Statement of Facts

Loan History

On or about June 23, 2022, Nancy Nguyen Yee and Robert Frank Yee, executed a deed of trust securing a promissory note against real property commonly known as 2246 Lake Crest Court Martinez, CA 94553 ("Property") for $640,000 ("Loan") in favor of MERS, as beneficiary, as nominee for Champions Funding, LLC, its successors and assigns. The deed of trust was recorded in the Official Records of Contra Costa County on June 24, 2022, as Document No. 2022-010385 ("2022 Deed of Trust") (Complaint ¶15.) MERS is the current beneficiary of the 2022 Deed of Trust. (Complaint ¶16.) On or about May 1, 2024, Shellpoint took over servicing of the Loan secured by the 2022 Deed of Trust after the acquisition of Specialized Loan Servicing, LLC. (Complaint ¶17.) Shellpoint is the current servicer of the Loan secured by the 2022 Deed of Trust. (Complaint ¶18.)

Litigation and Unsuccessful Payoff

On or about February 23, 2024, Robert Frank Yee and Nancy Nguyen Yee filed a lawsuit in the Contra

Costa County Superior Court, Case Number C24-00387 against Specialized Loan Servicing, LLC, alleging that the Parties had entered into an accord and satisfaction agreement on the grounds that Defendants had written "Payment in Full" on their monthly mortgage statement. (Complaint ¶ 19.)

After multiple demurrers were sustained, Robert Frank Yee and Nancy Nguyen Yee sent a check for $619,004.83 along with a subsequent check for $5,203.03 to purportedly satisfy the remaining loan balance. (Complaint ¶19.) Following the alleged payoff, the Parties quickly resolved the lawsuit and on May 30, 2025, a dismissal of the entire action with prejudice was filed with the Court. (Id.) After Robert Frank Yee and Nancy Nugyen Yee purportedly paid the remaining loan balance in full to Shellpoint for the Loan secured by the 2022 Deed of Trust, on or about April 15, 2025, a Substitution of Trustee and Full Reconveyance was executed, reconveying the 2022 Deed of Trust. (Complaint ¶20.) The Reconveyance was recorded in the Contra Costa County Recorder's Office on April 16, 2025, as Document Number 2025-0036152 ("Reconveyance"). (Id.)

On or about May 5, 2025, the checks written by Robert Frank Yee and Nancy Nguyen Yee for $619,004.83 and $5,203.03 bounced for insufficient funds. As a result, the Loan was not satisfied. However, by the time the checks had bounced, the 2022 Deed of Trust had been reconveyed. (Complaint ¶21.)

The 2022 Deed of Trust was erroneously reconveyed following the fraudulent payoff that was returned for insufficient funds. At the time the 2022 Deed of Trust and promissory note were executed, the parties to the 2022 Deed of Trust intended for the 2022 Deed of Trust to be recorded as an encumbrance against the Subject Property until the subject Loan was fully paid off. The Loan secured by Plaintiffs' 2022 Deed of Trust has not been paid off. As a result, the 2022 Deed of Trust should not have been reconveyed. (Complaint ¶¶ 22-24.)

Since the Reconveyance, the Complaint alleges Defendants have taken numerous actions to try and prevent Plaintiffs from reinstating the security, including but not limited to transferring the Property to a trust, entering a purported loan secured by a deed of trust ("2025 Deed of Trust") and encumbering the Property with a UCC Financing Statement ("UCC Lien"). (Complaint ¶¶ 26-30.).

Request for Judicial Notice

Defendants request judicial notice of three documents: **Exhibit A:** Prior Dismissal with Prejudice in Yee v. Specialized Loan Servicing, et al., Contra Costa County Superior Court Case No. C24-00387, filed May 30, 2025; **Exhibit B:** Full Reconveyance of the subject loan recorded in the Official Records of Contra Costa County on April 16, 2025, as Instrument No. 2025-0036152; and **Exhibit C:** Rescission of Full Reconveyance of the subject loan recorded in the Official Records of Contra Costa County on or about July 3, 2023, as Instrument No. 2025-0067380.

Exhibit A is judicially noticeable under Evidence Code § 452(d) as it is a record of a California State Court. Exhibits B and C are judicially noticeable under Evidence Code §§ 452(c) and (h) because the documents are public records maintained by a government agency which is an executive department of the state and the fact that the documents were recorded on a certain date and contain certain text is not subject to reasonable dispute. Defendant's requests for judicial notice of Exhibits A through C are granted.

Legal Standard

"The function of a demurrer is to test the sufficiency of the complaint as a matter of law." (*Holiday Matinee, Inc. v. Rambus, Inc*. (2004) 118 Cal.App.4th 1413, 1420.) A complaint "is sufficient if it alleges ultimate rather than evidentiary facts" (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 ("*Doe*")), but the plaintiff must set forth the essential facts of his or her case "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id*. at 1098–1099; *Doe* at 551, fn. 5.) The Court "assume[s] the truth of the allegations in the complaint but do[es] not assume the truth of contentions, deductions, or conclusions of law." (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

<u>Analysis</u>

First Cause of Action for Declaratory Relief

Yee Defendants demur on the grounds that the First Cause of Action for Declaratory Relief fails to state facts sufficient to constitute a cause of action, it is redundant, there is no justiciable controversy, there is a lack of standing because the plaintiffs are not the real-party-in-interest, and for uncertainty.

To qualify for declaratory relief under Code of Civil Procedure section 1060, a plaintiff must satisfy two essential elements: "(1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the rights or obligations of a party." (*Lee v. Silveira* (2016) 6 Cal. App. 5th 527, 546.) Declaratory Relief is properly asserted as a cause of action in the complaint in order to interpret the terms of a contract. (*S. Cal. Edison Co. v. Super. Ct.* (1995) 37 Cal. App. 4th 839, 846-847) ["Section 1060 provides '[a]ny person interested ... under a contract ... may ... bring an original action ... in the superior court ... for a... determination of any question of construction or validity arising under the ... contract' …. [T]he plaintiff 'may ask for a declaration of rights or duties, either alone or with other relief; and the court may make a binding declaration of these rights or duties, whether or not further relief is or could be claimed at the time."'].)

Redundant Claim and No Independent Controversy

Defendants assert that this cause of action simply repackages issues already put before the Court by their cancellation, i.e., that the equitable lien and quiet title counts and a separate declaratory count adds nothing and should be dismissed.

The Complaint alleges there is a present and actual controversy among the parties concerning their rights and obligations in the Subject Property with respect to the Promissory Note and the lost security interest as a result of the errant reconveyance caused by a fraudulent check. (Complaint ¶ 38.) The cause of action is also not redundant because none of the other causes of action request a determination as to the validity and priority of the deed of trust.

Advisory Ruling on Past Acts

Defendant posits that because Declaratory relief is anchored in past events, the cause of action is not for advisory pronouncements about completed conduct where the same issues are already before the Court via other remedies.

Plaintiffs acknowledge they cannot seek an advisory opinion, which is hypothetical, conjectural or anticipated to occur in the future, (*Brownfield v. Daniel Freeman Marina Hospital* (1989) 208 Cal.App.3d 405, 410), and argue that they can seek the interpretation of a contract as the proper subject of declaratory relief. (*S. Cal. Edison Co. v. Superior Ct.* (1995) 37 Cal. App. 4th 839, 845–47.). Here, Plaintiffs' request is ripe for determination because the parties need to determine their rights and obligations with respect to the deed of trust, which is not hypothetical.

Standing/ Real Party in Interest Defects

Defendants contend that neither MERS nor Shellpoint are the owners of the note and claim the Complaint does not allege a real party in interest.

Servicers have standing to take all actions necessary to enforce the deed of trust as the attorney-in-fact for the lender. (See *Kalnoki v. First American Trustee Servicing Solutions LLC* (2017) 8 Cal.App.5th 23 [execution of substitution of trustee by servicer as attorney-in-fact does not render substitution of trustee invalid and does not require providing a power of attorney.].) Thus, Shellpoint has standing to bring this action on behalf of the holder of the Note, and has alleged that they were a servicer of the Note as of 2024. (Complaint ¶¶ 17-18.)

California courts have held that MERS is a valid beneficiary under a deed of trust, with the ability to enforce the deed of trust, even if it has no interest in the note secured by the deed of trust. (*Saterbak v. JPMorgan Chase Bank* (2016) 245 Cal.App.4th 808, 816, fn. 6; *King v. U.S. Bank Trust N.A., et al*. (9th Cir. 2021) 846 Fed. Appx. 474 [holding that MERS was granted the authority under the deed of trust to assign that instrument regardless of its interest in the note].)

MERS is the beneficiary of the 2022 Deed of Trust and therefore has the right to exercise all interests of the beneficiary, including cancelling the void reconveyance and requesting judicial relief pursuant to the rights granted under the 2022 Deed of Trust. (Complaint ¶¶ 15-16.) Accordingly, both Plaintiff Shellpoint and MERS have pleaded standing.

Uncertainty

Demurrers for uncertainty are disfavored. (*Morris v. JPMorgan Chase Bank, N.A*. (2022) 78 Cal.App.5th 279, 292.) They are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond. (Id.) A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures. (*Chen v. Berenjian* (2019) 33 Cal.App.5th 811, 822.) A demurrer for uncertainty should be overruled when the facts as to which the complaint is uncertain are presumptively within the defendant's knowledge. (5 Witkin, Cal. Procedure (5th ed. 2008) Pleading, § 976, p. 389.)

Here, Defendants allege that the Complaint is uncertain because the Complaint requests inconsistent theories, such as damages and an equitable lien. (Dem. at p. 5:6-8.)

Plaintiffs respond that they are pleading causes of action in the alternative. A plaintiff who is unsure of the facts or his legal remedies may plead alternative theories of liability, as well as alternative facts in separate causes of action. (See *Del E. Webb Corp. v. Structural Materials Co*. (1981) 123 Cal.App.3d 593, 604; see *Picton v. Anderson Union High School District* (1996) 50 Cal.App.4th 726, 732-733; 5 Witkin, Cal. Proc. (5th ed. 2008), Plead §728; *Mendoza v. Rast Produce Co., Inc*. (2006) 140 Cal.App.4th 1395, 1402.)

Here, the Complaint pleads that there was a purported payoff that caused a reconveyance of the deed of trust, the purported payoff subsequently bounced making the reconveyance improper, and Plaintiffs thereby seek to cancel the reconveyance. (Complaint ¶¶ 19-24.) Plaintiffs seek to recover a security interest in the property, either through cancelling the reconveyance, seeking an equitable lien, or getting a money judgment for fraud. These are essentially ways of stating the same claims differently.

Moreover, Defendants fail to show how the complaint is so incomprehensible that Defendants cannot respond. The facts are also within the Defendants knowledge, as they are privy to the circumstances that led to the subject lawsuit. Based on the foregoing, the complaint is not uncertain.

The Demurrer is overruled for the first cause of action.

Second Cause of Action for Cancellation of Instruments

To prevail on a claim to cancel an instrument, a plaintiff must prove (1) the instrument is void or voidable due to, for example, fraud, and (2) there is a reasonable apprehension of serious injury including pecuniary loss or the prejudicial alteration of one's position. (See *Turner v. Turner* (1959) 167 Cal.App.2d 636, 641.)

Defendants argue that Plaintiffs have not alleged any authority to rescind a reconveyance and Plaintiffs cannot rescind a reconveyance on the basis of mistake. Defendants provide no legal authority in support of their argument.

California law has long held that a reconveyance recorded by a trustee by mistake can be set aside by a court of equity in the absence of a bona fide purchaser or encumbrancer. (*First Fidelity Thrift & Loan Ass'n v. Alliance Bank* (1998) 60 Cal.App.4th 1433, 1441; *Ankoanda v. Walker-Smith* (1996) 44 Cal.App.4th 610, 615; *First Nationwide Savings v. Perry* (1992) 11 Cal.App.4th 1657, 1669.) The Court may order cancellation of an invalid written instrument that is void or voidable. (Cal. Civ. Code §§ 3412, et seq.)

Defendants are alleged to have made a fraudulent payment with insufficient funds for the purpose of inducing the Reconveyance. (Complaint ¶¶58-64.) The trustee of record then did reconvey the 2022 Deed of Trust that was otherwise valid on its face. (Complaint ¶20.) As a result, the Reconveyance is voidable and can be cancelled as pled. Plaintiffs also allege pecuniary harm because if the reconveyance is not cancelled they would have no way of enforcing the remaining debt. (Complaint ¶ 44-48.)

The Demurrer is overruled for the second cause of action.

Third Cause of Action for Equitable Lien

"[E]quity will create a lien on property where this is necessary to accomplish substantial justice and protect creditors. Thus, courts will construe the existence of equitable liens where the parties have erroneously created a defective mortgage where, despite the lack of any formal mortgage or deed of trust it is apparent that the parties intended to create a security interest in property; where the parties have otherwise clearly attempted or intended to make real property security for an obligation; or, even in the absence of any agreement, where it is necessary to prevent unjust enrichment." (*Grappo v. Coventry Financial Corp*. (1991) 235 Cal.App.3d 496, 509 (internal citations omitted.); see also *JPMorgan Chase Bank, N.A. v. Banc of America Practice Solutions, Inc*. (2012) 209 Cal. App. 4th 855, 861 ["[E]quity will generally 'give a lender the security for which he bargained in the situation when there is mistake or fraud with respect to an intervening right which cuts off a preexisting encumbrance…"'] (internal quotation omitted).) An equitable lien is awarded as incidental to the enforcement of the original obligation. (*Beal v. United Properties Co*. (1920) 46 Cal.App. 287, 297-298.)

Because the Complaint alleges that the Parties intended for there to be a security interest until the loan was repaid, and yet the Promissory Note is still active and has not been repaid, Plaintiff is entitled to judgment as a matter of law to impress an equitable lien as an alternative to cancelling the errant reconveyance and declaring the deed of trust as being reinstated. (Complaint ¶¶ 22-34.)

Claim Preclusion

"The prerequisite elements of res judicata in its claim preclusion form are (1) the claim in the present action must be identical to a claim litigated or that could have been litigated in a prior proceeding; (2) the prior proceeding resulted in a final judgment on the merits; and (3) the party against whom the doctrine is being asserted was a party or in privity with a party to the prior proceeding." (*Bucur v. Ahmad* (2016) 244 Cal.App.4th 175, 185.)

Defendants take the position that the related prior action was dismissed with prejudice pursuant to settlement acknowledging payoff and a dismissal with prejudice is a final judgment on the merits and bars re-litigation of the same primary right.

This argument does not apply in this instance because in the former lawsuit alleged satisfaction and accord of the subject loan while the instant cause of action is for an equitable lien based on an alleged bounced check. (Complaint ¶¶ 19-21.)

Mootness

Defendants' argument on this point is unintelligible and unsupported by any authority.

Superior Equities

Again here, Defendants' argument is unintelligible and unsupported by any authority. What is particularly confusing is that Defendants argue that unjust enrichment is not a cause of action when arguing a Demurrer for an equitable lien cause of action.

Fourth Cause of Action for Quiet Title

Quiet title must be brought by a verified complaint and must state: (1) description of property, (2) title claimed, (3) adverse claims, (4) the date as of which determination is sought, and (5) a prayer. (CCP § 761.020.)

Defendants appear to argue that the elements somehow were not met and that Plaintiffs did not claim a fee interest.

All elements were met to state a valid cause of action. The Complaint is verified. (Complaint at p. 14.) The legal and common address is included. (Complaint ¶3) Plaintiff also describes their security interest pertaining to the Deed of Trust. (Complaint ¶ 54.) Notably, the beneficiary's security interest in the property may be the subject of a quiet title action. (*Hughes* v. *Korntved*, 218 Cal. 3; see also CCP § 760.010(a).) The adverse claim is also described via Defendants' refusal to cancel the errant reconveyance. (Complaint ¶¶ 44, 54-56.) Lastly, Plaintiffs include the date upon which the determination is sought and prayer for relief. (Complaint ¶ 56.) Because all elements were met, this cause of action stated a valid claim for relief.

Fifth Cause of Action for Intentional Misrepresentation

The elements of a cause of action for intentional misrepresentation are (1) a misrepresentation, (2) with knowledge of its falsity, (3) with the intent to induce another's reliance on the misrepresentation, (4) actual and justifiable reliance, and (5) resulting damage. (*Chapman v. Skype Inc*. (2013) 220 Cal.App.4th 217, 230–231.) The specificity requirement means a plaintiff must allege facts showing how, when, where, to whom, and by what means the representations were made

(*West v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 780, 793.) However, "the requirement of specificity is relaxed when the allegations indicate that 'the defendant must necessarily possess full information concerning the facts of the controversy' [citations] or 'when the facts lie more in the knowledge of the' " defendant. (*Daniels v. Select Portfolio Servicing, Inc*. (2016) 246 Cal. App. 4th 1150, 1166–67.) The specificity requirement serves two purposes: "to apprise the defendant of the specific grounds for the charge and enable the court to determine whether there is any basis for the cause of action." (Id.)

Defendants assert that the fifth cause of action fails for lack of specificity, as it does not allege who made the misrepresentations, to whom they were made, when, where, how the misrepresentations were made and that Plaintiffs justifiably relied on the representations, and damages.

A reading of the Fifth Cause of Action confirms that these elements were plead in detail. Plaintiffs allege that Defendants represented via e-mail on April 16, 2025 that they had paid off the subject loan in full. (Complaint ¶58.) Additionally, the mere tender by Defendants constitutes a representation that there are sufficient funds to cover the check (*Wilson v. Lewis* (1980) 106 Cal.App.3d 802 ["Its unqualified tender is a representation that there are sufficient funds to cover it on deposit with the drawee bank which will pay it instantly on demand."].) Plaintiffs further allege that they relied on these representations to their detriment by reconveying the subject loan. (Complaint ¶59.) Plaintiffs also allege that Defendants knew the representations were false and were trying to buy as much time as possible so they could take actions that they believed would prevent Plaintiffs from being able to reinstate the deed of trust once reconveyed, including transferring ownership and taking out fraudulent deeds of trust. (Complaint ¶60.) By doing so, Plaintiffs have sufficiently alleged how (e-mail and check itself) when (4/16/25 and date check was written), where (via e-mail and mailing of check), to whom (e-mail to Plaintiffs' counsel of record and check to Shellpoint), and by what means the representations were made (statement that they paid the loan in full and written check). (Complaint ¶¶ 57-64.)

Sixth Cause of Action for Fraudulent Concealment

The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) plaintiff sustained damage as a result of the concealment or suppression of the material fact. (*Graham v. Bank of America, N.A.* (2014) 226 Cal.App.4th 594, 606.)

A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as plaintiff's fiduciary or is in some other confidential relationship with plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment) (Civ. Code, § 1710, subd. (3); *Warner Constr. Corp. v. City of Los Angeles* (1970) 2 Cal.3d 285, 294; *LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336; see generally, 5 Witkin, Summary of Cal. Law (11th ed. 2023) Torts §§ 913–919.)

Defendants contend that Plaintiffs did not plead the required elements and there is no legal duty to disclose the insufficient funds.

Here, the complaint alleges that Defendants concealed that their account had insufficient funds for the check to clear. (Complaint ¶66.) Plaintiffs also contend that Defendants intended to deceive Plaintiffs by concealing that the check was fraudulent based on the fact that they knew they had insufficient funds in their account to pay off the remaining loan balance. (Complaint ¶68.) Plaintiffs further allege they did not know Defendants had insufficient funds and that the check would eventually bounce. (Complaint ¶67.) Plaintiffs also allege they suffered damage as a result of the fraudulent check based upon the reconveyance. (Complaint ¶¶69-72.)

The Complaint pleads that Defendants also had a duty to disclose this information since the material facts are known or accessible only to Defendants, and Defendants know those facts are not known or reasonably discoverable by Plaintiffs (i.e., exclusive knowledge) (Complaint ¶¶67-68.) The Parties also had a pre-existing relationship via the contractual agreement of the Deed of Trust and . Additionally, the act of passing a bad check with the intent to defraud violates civil and criminal statutes (See e.g. Penal Code 476a.) Thus, the Complaint properly alleges that a legal duty was owed not to conceal the fact that the check was bad.

Order

Defendants' Demurrer is overruled in its entirety.

[Motion to Strike]

Introduction

Before the Court is Defendants Robert and Nancy Yee's ("Defendants" or "Yee Defendants") Motion to Strike. The Motion to Strike relates to Plaintiffs' allegations regarding punitive damages, attorneys fees, equitable lien, allegations allowing double recovery, and conclusions of intent/scienter.

For the following reasons, **Defendants' Motion to Strike is denied in its entirety.**

Meet and Confer Requirement

Defendants Robert and Nancy Yee failed to file a declaration in support of their meet and confer efforts in violation of their statutory duties. (CCP §§ 430.41 and 435.5.) However in their reply, Defendants state that they did engage in a good faith meet and confer prior to filing the Demurrer. Since Plaintiff filed a Reply stating that the Defendants did in good faith meet and confer with Plaintiffs, the Court will proceed to the merits.

Legal Standard

A court's determination of a motion to strike is a matter within its discretion. (*Clements v. T.R. Bechtel Co.* (1954) 43 Cal.2d 227, 242.) When ruling on a motion to strike, the court must read the allegations subject to the motion as a whole, with all parts in their context, and assume their truth. (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255; *Spielholz v. Superior Court* (2001) 86 Cal.App.4th 1366, 1371.) As with demurrers, the grounds for a motion to strike must appear on the face of the pleading under attack, or from any matter which the court may judicially notice. (Civ. Proc. Code § 437.) A motion to strike may not be based on "extrinsic evidence showing that the allegations are 'false' or 'sham.' Such challenges lie only if these defects appear on the face of the complaint, or from matters judicially noticeable." (Weil & Brown, Cal. Prac. Guide Civ. Pro. Before Trial, ¶7:168 (TRG 2023).) Scandalous allegations can be properly stricken. (*Bartling v. Glendale Adventist Medical*

Center (1986) 184 Cal.App.3d 961, 970.) Moreover, matters which are not essential or relevant to any statement or claim for relief should also be stricken. (C.C.P. § 431.10(b)(1), (2).)

The court may strike any irrelevant, false, or improper matter from any pleading. (Code Civ. Proc., § 436(a).) The court may also strike out all or any portion of any pleading not drawn in conformity with the laws of this state. (Code Civ. Proc., § 436(b).) "Irrelevant matter," as the term is used in section 436, means "immaterial allegation." (Code Civ. Proc., § 431.10(c).) Code of Civil Procedure section 431.10(b) defines "immaterial allegation" as, among others, a demand for judgment requesting relief not supported by the allegations of the complaint or cross-complaint.

<u>Analysis</u>

Improper Notice and Grounds

Defendants fail to adhere to the notice requirements for motions to strike. “A notice of motion to strike a portion of a pleading must quote in full the portions sought to be stricken except where the motion is to strike an entire paragraph, cause of action, count, or defense. Specifications in a notice must be numbered consecutively.” (Cal. Rules of Court, Rule 3.1322.)

Here, Defendants failed to cite the portion, paragraph, cause of action, count, or defense they seek to strike.

Punitive Damages

Punitive damages must be supported by specific ultimate facts showing malice, oppression, or fraud. Defendant contends that Plaintiffs fail to allege punitive damages with particularity.

The applicable statute governing punitive damages is Civil Code § 3294: ‘In an action for the breach of an obligation not arising from contract, where the defendant has been guilty of oppression, fraud, or malice, express or implied, the plaintiff, in addition to the actual damages, may recover damages for the sake of example and by way of punishing the defendant. (*Miller v. Nat'l Am. Life Ins. Co*. (1976) 54 Cal. App. 3d 331, 336.) This section permits recovery of punitive damages in fraud cases. And proof of the cause of action for fraud is itself an adequate basis for awarding punitive damages. (*Oakes v. McCarthy Co*. (1968) 267 Cal.App.2d 231, 263.)

Here, the Complaint alleges two fraudulent causes of action, the fifth cause of action for intentional representation and the sixth cause of action for fraudulent concealment. Both fraud-based causes of action survived the attack on the pleadings by the concurrently filed Demurrer. Thus, Plaintiffs have successfully alleged two fraud-based causes of action which lays the proper foundation upon which Plaintiffs can seek to recover punitive damages.

Attorney’s Fees

Defendants argue that Plaintiff did not allege a statute or contract authorizing attorney’s fees.

Attorney’s fees are recoverable pursuant to the terms of the Note and Deed of Trust. For example, the Deed of Trust, which controls the lender-borrower relationship, provides that the lender can act to protect its interest in the Property. The Deed of Trust specifically provides for the lender’s remedies, stating: “Lender’s actions can include, but are not limited to: . . . (b) appearing in court; and (c) paying reasonable attorney’s fees to protect its interest in the Property and/or rights under this Security Instrument. .” (Id.) (Complaint. Ex. 2, ¶ 9.)

Equitable Lien; Double Recovery; Intent/Scienter Conclusions

Paragraphs 3, 4, and 5 of the Motion to Strike, seek to strike items based on the same arguments raised on demurrer. (Mtn at p. 9:6-11.) For example, Defendants seek to strike the fraud causes of action based on purported pleading deficiencies. (Mtn. ¶ 5.) Defendants also seek to bar alternative legal theories. (Mtn ¶ 4.) Additionally, Defendants claim the equitable lien cause of action cannot be related back to the date the security was originated. (Mtn ¶ 3.)

Each of the above arguments were made on demurrer and argue that the allegations do not rise to a cause of action. Accordingly, the motion is duplicative and improper for a motion to strike.

Order

Defendants' Motion to Strike is denied in its entirety.

8. 9:00 AM CASE NUMBER: L24-02110
CASE NAME: VELOCITY INVESTMENTS LLC VS. LA PERKINS
HEARING IN RE: MOTION TO SET ASIDE DEFAULT & DEFAULT JUDGMENT
FILED BY:
TENTATIVE RULING:*

Procedural History of the Case

Default was entered against the Defendant on June 17, 2025. Immediately thereafter, Defendant filed a motion to set aside Default and Default Judgment on June 26, 2025. Hearing was set for August 22, 2025.

On August 22,2025, the court continued defendant s motion to set aside default and default judgment because defendant had not given plaintiff notice of the motion s date, time, and department where motion would be heard. The hearing was continued to October 17, 2025.

On October 17, 2025, the defendant's motion to set aside default and default judgment were dropped from calendar finding that Defendant still had not provided notice to the defendant of the time and date of the motion, nor what department the motion will be heard in.

The Defendant filed a Notice of Motion and Motion to Set Aside Default and Default Judgment, Memorandum of Points and Authorities and Declaration of Defendant with the court on October 17, 2026. That pleading shows the hearing date, time and place of February 6, 206, at 9:00 a.m., Dept. 18, Judge D. Douglas in this court. On October 20, 2025, the Defendant filed a Proof of Service by First Class Mail with the court attesting that on October 17, 2025, a non party adult mailed "Motion to Set Aside Default" to Plaintiff's counsel Bryan Burnstad at 10805 Holder St., Suite 167, Cypress, CA 90630.

A Default Judgment was entered against the Defendant on December 10, 2025.

The court has not received an opposition to the Defendant's Motion to Set Aside Default and Default Judgment.

Discussion